

1 _____ BILL NO. _____

2 INTRODUCED BY _____
3 (Primary Sponsor)

4 A BILL FOR AN ACT ENTITLED: "AN ACT REVISING STATE CONTRACT REQUIREMENTS FOR
5 CONSTRUCTION, REPAIR, OR PUBLIC WORKS; PROVIDING EXEMPTIONS FOR RESIDENT
6 PREFERENCE; PROVIDING SITUATIONS WHEN A CONTRACT FOR A LOWEST BIDDER MAY BE
7 CANCELED; AND AMENDING SECTION 18-1-102, MCA."

8
9 BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

10
11 **Section 1.** Section 18-1-102, MCA, is amended to read:

12 **"18-1-102. State contracts to lowest bidder -- reciprocity.** (1) In order to provide for an orderly
13 administration of the business of the state of Montana in awarding public contracts for the purchase of goods
14 and for construction, repair, and public works of all kinds, a public agency shall, except as provided in Title 18,
15 chapter 2, part 5, award:

16 (a) a public contract for construction, repair, or public works to the lowest responsible bidder
17 without regard to residency. However, except as provided in subsection (3), a resident bidder must be allowed
18 a preference on a contract against the bid of a nonresident bidder from any state or country that enforces a
19 preference for resident bidders. The preference given to resident bidders of this state must be equal to the
20 preference given in the other state or country.

21 (b) a public contract for the purchase of goods to the lowest responsible bidder without regard to
22 residency. However, a resident must be allowed a preference on a contract against the bid of a nonresident if
23 the state or country of the nonresident enforces a preference for residents. The preference must be equal to the
24 preference given in the other state or country.

25 (2) The preferences in this section apply:

26 (a) whether the law requires advertisement for bids or does not require advertisement for bids; and

27 (b) to contracts involving funds obtained from the federal government unless expressly prohibited
28 by the laws of the United States or regulations adopted pursuant to federal laws.

(3) _____ A resident bidder must be allowed preference under subsection (1)(a) except if, for contracts awarded under this chapter, the lowest bidder:

(a) _____ has not performed on a prior contract;

(b) _____ has requested more than two extensions on a contract; or

(c) _____ has failed to perform warranty work on a prior contract.

(4) _____ If the situations described in subsection (3) occur, a contract awarded to the lowest bidder may be canceled and given to the second lowest bidder."

- END -